HEDGEYE DAILY DIGEST

September 1, 2026 (GMT+8)

Covering Hedgeye's Monday, August 31 (EDT) publishing day as "Today" and Friday, August 28 as "Yesterday". Hedgeye does not publish on weekends, so Saturday 29 and Sunday 30 August are blank.

> *The Fed went hawkish at Jackson Hole and Hedgeye's signals were already there. Short-end yields ripped +12bps on the week, the curve flattened -12bps, and Keith McCullough sold the curve steepener (IVOL) and flipped from long to short Utilities (XLU), down -6.1% in the last month. Underneath the rate move, commodity inflation is reaccelerating hard (Copper +1.1%, Corn +5.5%, Cocoa +10.2% on the week), confirming the #Quad3 setup after July's #Quad4 slowdown. The tactical wrinkle: the S&P 500 has now printed two consecutive days of lower highs, but with VIX still under 19 and dealer gamma positive, Hedgeye reads this as consolidation rather than a bearish trend break.*

Today's Publications - Monday, August 31, 2026 (EDT)

EARLY LOOK

Fed Hawkish In #Quad3

Keith McCullough | 08/31/26 07:43 AM EDT (19:43 GMT+8)

McCullough opens with **Dave Portnoy** - a fellow Gen-X 1999 graduate who built a direct-to-audience media business without institutional permission - as a frame for Hedgeye's own positioning against the establishment. The substantive point is that Hedgeye's proprietary **US Inflation Nowcast** is now being front-run by policymakers rather than the other way around, with the Treasury Secretary appearing increasingly "Macro Aware" of it.

Quad positioning: #Quad3 (growth slowing, inflation accelerating). This is the key regime call of the note - August's **#Quad3** follows July's **#Quad4** inflation slowdown, and the sequential commodity data now confirms the shift.

The week closed with "Fed Rate Hike Expectations Rising" - Dollar up, rates up. McCullough's read on the FX consequences: the **US Dollar Index** finished **+0.9%** on the week, moving to **Bullish TRADE** but remaining **Bearish TREND**; **Gold** corrected **-3.2%** on its inverse USD correlation but held **Bullish TRADE and TREND**; the **Japanese Yen** fell **-0.6%** and moved back to **Neutral TREND**; **EUR/USD** corrected **-0.5%** and McCullough bought more; the **Canadian Dollar** corrected **-0.8%** vs USD and was bought on sale; and the **South Korean Won** rose another **+1.0%** vs USD, taking it to **+6.5%** in a month as the **Bank of Korea** tightens into a **#Quad4** slowdown.

On the inflation side, commodities ex-Oil kept inflating despite the stronger Dollar - textbook **#Quad3** behaviour. **Dr. Copper** inflated **+1.1%** on the week (**+4.7%** in a month), **Corn +5.5%** (**+11.7%** in a month), and **Cocoa +10.2%** (**+18.3%** in a month).

The rates picture drove the position changes. The **UST 2yr Yield** popped **+12 basis points** on the week and remains **Bullish TREND**; the **UST 10yr** was flat (down 1bp) and also **Bullish TREND**; the **yield curve compressed -12bps**. That flattening is why McCullough sold The Fam's curve steepener (**IVOL**) before it got hurt - the steepener is a trade for when the Fed turns less hawkish, which historically happens only after **#Quad4** becomes obvious. On rate-sensitives, Hedgeye exited long **Utilities (XLU)** - held for **#Quad4** in July - and is now **short XLU**, down **-6.1%** in the last month and leading losers in an otherwise strong month.

Investment implication: stay short the rate-sensitive complex and long the inflation complex while **#Quad3** holds. The anti-dollar trade (**Gold**, **EUR**, **CAD**) stays intact because USD remains **Bearish TREND** despite the tactical bounce.

Risk Range™ Signals — 08/31/2026

ASSET	RISK RANGE	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.63-4.74	Bullish
High Yield (HYG)	79.45-79.99	Bullish
Investment Grade Corp Bond ETF (LQD)	105.5-106.9	Bearish
S&P 500 (SPX)	7625-7749	Bullish
NASDAQ Composite (COMPQ)	25848-26592	Bullish
Russell 2000 (RUT)	2950-3031	Bullish
Health Care SPDR (XLV)	168-178	Bullish
S&P 500 Equal Weight (RSP)	219.00-224.00	Bullish
Tech-Software ETF (IGV)	103.00-112.00	Bullish
Shanghai Composite (SSEC)	3882-4016	Neutral
Nikkei 225 (NIKK)	64848-67302	Bullish
German DAX (DAX)	26008-26589	Bullish
Volatility Index (VIX)	14.06-16.46	Bearish
U.S. Dollar Index (USD)	98.70-99.83	Bearish
WTI Crude Oil (WTIC)	82.10-88.59	Bullish
Natural Gas (NATGAS)	2.71-2.97	Neutral
Gold Spot (GOLD)	4378-4703	Bullish
Copper Spot (COPPER)	6.46-6.73	Bullish
Silver Spot (SILVER)	65-70	Bullish

Notable TREND changes vs Friday: **WTI Crude** moved from **Neutral to Bullish** after clearing the **$83** signal level, and the **SPX** range compressed at the top (**7788 to 7749**), the second lower high.

MOMO TRACKER

Mag7 (+0.6%), SNDK = (back to) NEUTRAL, Calm, Consolidation & Day 2 of Lower-Highs

Christian Drake, Ryan Ricci | 08/31/26 07:57 AM EDT (19:57 GMT+8)

The Momentum Stock Tracker is a chart-and-data dashboard, so the headline carries the signal. **Mag7** was up **+0.6%**, and **SanDisk (SNDK)** - which broke **TREND** on Friday - reverted to **NEUTRAL**. The framing word is consolidation: this is **Day 2 of lower highs** in the risk-range structure, which the Macro Show elaborated on as a pause in the uptrend rather than a reversal. Momentum conditions were described as calm.

THE MACRO SHOW

Summary Notes & Replay | Monday, August 31st, 2026

Keith McCullough & Daryl Jones | 08/31/26 10:33 AM EDT (22:33 GMT+8)

The most detailed positioning document of the day. **Rates were the lead signal**: both the short and long end were **Bullish TRADE and TREND** on yield going into Jackson Hole, which is why Hedgeye was short bonds via **TLT** and **ZROZ**. McCullough expects **August CPI** to print more hawkish still.

Oil reflation is back. McCullough gave **WTI**'s Alpha Code as **83/83** - TRADE and TREND both around **$83**. Once WTI cleared $83 it popped more than **3%** (**+3.3%**), which he described as causal rather than coincidental: the higher and longer oil runs, the more likely a **#Quad2**-type inflation reacceleration becomes.

New and changed positions: long **Oil Services (OIH)** - McCullough pushed back on the objection that the position requires oil itself to be bullish TREND, since the signal is simply to buy oil services; bought **Physical Uranium (SRUUF)** on Friday's weakness; long **Lumber via WOOD**; **sold the broadening trade** that Hedgeye held from the July lows into the August highs, especially in health care, because the SPX lower highs reduce the beta upside that made the setup work; long **Health Care (XLV)** against short **Utilities (XLU)**, with utilities down **-3.7%** in August and the pair helping performance; **still long High Yield (HYG)** into September **#Quad1**; and long **Microsoft (MSFT)**, described as one of Hedgeye's better pivots, from short when bearish to long now.

Apple (AAPL) remains **Bullish TRADE and TREND**, and **Amazon (AMZN)** was the best place to be in the S&P 500 on Friday by impact. On FX, McCullough was **stopped out of the Yen long** and **covered the USD short**, but bought more **Canadian Dollar**, **Gold** and **Euro** - with gold the largest of the three - noting the dollar short could come back on quickly.

On semis: the **KOSPI** is the "tip of the spear" for U.S. semiconductors, with an Alpha Code of **69/72** (TRADE around **6,910**, TREND around **7,200**). The **won** rising after the **Bank of Korea** hike is a headwind for an export economy selling semiconductors.

On China: back to **Bullish TRADE** but not owned - and explicitly not shorted. **KBA** is the preferred A-share vehicle; **KWEB** is **bearish TRADE and TREND** and should not be bought; **FXI** remains bearish but could improve.

On vol and structure: VIX under **19** keeps U.S. equity vol in the "investable bucket", and positive dealer gamma from **Tier1 Alpha** supports the consolidation read. Pending **Quad Count is 3-1-2**.

Other exposures: long **Copper Miners**, **Wheat** and **Cocoa** (up **10-12%** the prior week); **Bitcoin** and **Ethereum** both **Bullish TRADE and TREND**, with **ETH** the first crypto McCullough would buy after its correction; **Turkey** on the buy list; and **Australia** not shorted despite **#Quad4** because the signal does not say to.

Bottom line from the show: oil and yields remain causal - stay long inflation winners, high yield and health care while trimming broadening and following the signal and quad shifts.

CAPITAL ALLOCATION PRO

Model Portfolio Changes | Effective 8/31/2026

Robert McGroarty, Andrew Nanai, David Salem | 08/31/26 12:21 PM EDT (09/01 00:21 GMT+8)

Changes to the **Model Portfolios** go into effect using **Monday, August 31** closing prices; the detailed change table is published as a chart and PDF rather than as text. Alongside the changes, **Trend and Tail Levels for all 68 ETFs** were refreshed using **Friday, August 28** closing prices, per the standard 3-4 week update cycle.

A **ticker substitution** was also made to the Daily Dashboard: **BNO** (Brent Crude) and **USO** (WTI Crude) were added to commodity coverage, while **MBB** (U.S. Mortgage-Backed Bonds) and **PFF** (U.S. Preferred and Income Securities) were removed - a coverage shift that tracks the broader move away from rate-sensitive exposure and toward the energy complex.

SIGNAL STRENGTH STOCKS

79 Stocks (7 Added, 7 Removed)

08/31/26 11:34 AM EDT (23:34 GMT+8)

Added: SPGI, **FCFS**, **CACC**, **MCO**, **GTBIF**, **FIVN**, **BRCB**. **Removed: SOFI**, **TXRH**, **DLTR**, **CBRL**, **RTX**, **CGC**, **BBY**.

The additions skew heavily toward **financial data and ratings** (**S&P Global**, **Moody's**) and **specialty consumer credit** (**FirstCash**, **Credit Acceptance**), while the removals are concentrated in **consumer discretionary and restaurants** (**Texas Roadhouse**, **Dollar Tree**, **Cracker Barrel**, **Best Buy**). An earlier run at **09:18 AM EDT** showed no changes (0 added, 0 removed) before the midday refresh.

BITCOIN TREND TRACKER

Crypto Quant

Christian Drake, Josh Steiner, Matthew Cooper | 08/31/26 06:36 AM EDT (18:36 GMT+8)

BTC +1.3% overnight. U.S. spot **ETF flows were +$1.66B week-over-week**. On the alt side, **Solana's 2X disinflation proposal passed**, and corporate and protocol **buybacks now total $640M year-to-date**. The dashboard body is chart-based, so the headline carries the data. This aligns with the Macro Show call that **Bitcoin** and **Ethereum** are both **Bullish TRADE and TREND**.

Yesterday's Publications - Friday, August 28, 2026 (EDT)

EARLY LOOK

The Golden Age of Snake Oil #Quad1

R. Patrick Kent | 08/28/26 07:40 AM EDT

What: A guest Early Look from **Patrick Kent**, Portfolio Manager at Hedgeye Asset Management, arguing that **#Quad1** remains firmly risk-on while AI-related claims have detached from fundamentals.

Why: Accelerating growth, expanding liquidity and stable credit support adding beta. Dollar weakness is fuelling the cross-asset setup - bearish **USD** supports bullish **Gold** and **Software**, and higher-beta pockets like quantum computing benefit from the backdrop.

Who: **Nvidia** (revenue beat, aggressive FY guidance, plus a quietly disclosed **$105 billion** financial guarantee backing **OpenAI**'s lease obligations); the **Bank for International Settlements**, which has flagged **$800 billion** of such arrangements across the AI supply chain; **Anthropic** (a claimed **$30T** TAM) and **SpaceX** (**$28.5T**); **Tesla**, which discontinued solar roof tiles as not economically viable; and **Leopold Aschenbrenner**. Keith holds the **QTUM** ETF in ETF Pro.

Key numbers: **S&P 500 7620-7788**, **UST10Y 4.60-4.76%**, **VIX 14.26-16.47 (bearish)**, **USD 98.50-99.66 (bearish)**, **Gold 4399-4763 (bullish)**, **Silver 66-72 (bullish)**, **WTI 81.01-87.91 (neutral)**. **SPX**, **Russell** and **Nasdaq** vol all in the investable bucket.

Takeaway: Enjoy the AI trade in **#Quad1**, but do not confuse the story with the fundamentals - the leverage, guarantees and stretched narratives become consequential when the cycle turns to **#Quad3** or **#Quad4**. The historical analogue offered: the transcontinental railroad was genuinely transformative, and by end-1894 one-third of U.S. railroad mileage had passed through receivership.

FROM THE DESK

KM's Top 3 Things (Semis / Software / Silver)

Keith McCullough | 08/28/26 07:16 AM EDT

What: McCullough's three-point morning note, flagging the **first lower high** in his **SPX Risk Range Signal**.

Why: Leadership is rotating out of semiconductors and into software and precious metals as the quad shifts.

Who: **NVDA**, **KOSPI**, **SNDK**, **MRVL**, **SLV**, **ICOP**.

Key numbers: **NVDA** delivered the largest single-stock market impact day ever - a **+33% positive impact** on **SPY**'s **+0.7%** return - breaking back out to **Bullish TRADE and TREND** with an **Alpha Code of 217/208**. Yet **Dr. KOSPI failed** TRADE momentum at **6814** (TREND at **7211** untested) and remains in **Crash Mode, -26%** from its peak. **SNDK** broke TREND and **MRVL** was set to test TREND. The **"Expensive Software"** factor gained **+7.6%** in a day and **+39.3%** over three months, versus **+5.0%** and **+14.2%** for **GARP Software**; Hedgeye went long software in **May**. **Silver (SLV)** added **+1.8%**, taking one-month momentum to **+22%**, leading all precious metals gainers. Ranges: **SPX 7620-7788**, **UST10Y 4.60-4.76%**.

Takeaway: Own software over semis and precious metals over high-beta momentum. The "valuation bears" in software have been squeezed, and the momentum crowd has not yet crowded into **Gold**, **Silver** and **Copper Miners**.

THE MACRO SHOW

Summary Notes & Replay | Friday, August 28th, 2026

Keith McCullough | 08/28/26 10:25 AM EDT

What: Friday's show, dominated by the semis-versus-software rotation and several new positions.

Why: **August #Quad3 transitions to September #Quad1**. Q3 GDP is running roughly **3.5%-4%** and **485 S&P 500 companies** have reported earnings acceleration of about **52%** - the reasons equities made all-time highs out of **#Quad4**. But McCullough expects growth to slow substantially and inflation to fall sharply from here, forcing the Fed to cut roughly **four to eight times next year**.

Who: Bullish - **IGV**, **SLV**, **Gold**, **ICOP**, **XLV**, **CAD**, **EUR**, **EWP** (Spain), **ENZL** (New Zealand), **COLO** (Colombia), **NVDA**. Bearish - **TSLA**, **USD**, **KOSPI**, **SNDK**.

Key numbers: **7,788** was called the most important number of the morning - the **first SPX lower high**. **Nasdaq** also made lower highs, and McCullough warned that if **Nasdaq vol** exceeds **22**, its inclusion in the investable bucket should be disregarded. **Natural Gas** improved from **bearish to neutral TREND** on a higher low and bullish TRADE breakout; **Henry Hub** needs to hold above roughly **3.02** to establish bullish TREND, and McCullough prefers to wait for that confirmation rather than buy the neutral signal.

Takeaway: Selective, not broadly risk-on - software over semiconductors, precious metals and copper miners as core longs, health care favoured, **Tesla** still short, dollar weakness the FX view. **New positions:** long **Canadian Dollar** (buying further weakness) and newly owned **Spain**.

SIGNAL STRENGTH STOCKS

79 Stocks (2 Added, 6 Removed)

08/28/26 02:09 PM EDT

What: Friday's screen refresh.

Key numbers: **Added: NVDA, EL. Removed: WSM, HLT, MRVL, CFG, PYPL, AWI.**

Takeaway: **Nvidia**'s addition and **Marvell**'s removal on the same day is the semis bifurcation in miniature - consistent with **NVDA** breaking back to **Bullish TRADE and TREND** while **MRVL** was testing TREND to the downside.

BITCOIN TREND TRACKER

Crypto Quant

08/28/26 08:00 AM EDT

What: Friday's crypto dashboard.

Key numbers: **BTC +0.6%**, **ETF flows +$447M day-over-day**, **Coinbase premium positive**.

Who: **Schwab** adding alts; **PURR/Hyperliquid** buying noted.

Takeaway: Flows and the positive **CB premium** point to continued U.S. institutional demand, supporting the constructive **BTC** TREND read.

ALSO PUBLISHED FRIDAY

August 28, 2026

Additional research notes

FROM THE DESK - BONUS CONTENT | Macro Q&A With Keith (05:00 PM EDT): a subscriber Q&A session.

ETF PRO PLUS - UPDATE: 7 New ETF Pro Changes (01:21 PM EDT): an unusually heavy day of ETF Pro turnover, consistent with the quad transition.

CAPITAL ALLOCATION PRO - Daily Dashboard | Model Portfolios (08:34 AM EDT): routine daily dashboard refresh.